

Cross-Border Treasury and Settlement System

A Centralized Framework for Multi-Currency Collection, Internal Settlement, and USD Consolidation

Africa Finance Corporation

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"The infrastructure that moves money between your portfolio companies is itself a piece of infrastructure worth building."

THE PROBLEM

Your Portfolio Companies Convert Currency Independently. Every Conversion Costs Money.

AFC has invested \$12.34 billion across 36 African countries.

Portfolio companies in Nigeria earn naira. In Ghana, cedis. In Gabon, CFA francs. In Egypt, pounds.

When returns flow to AFC, each entity converts independently through local banks. Each bank takes a spread. Each conversion is uncoordinated.

Multiply that across dozens of companies in dozens of countries, and the aggregate FX cost is significant.

ARISE IIP

Gabon

Converts XOF through bank

3-5% spread

Infinity Power

Egypt

Converts EGP through bank

3-5% spread

Pecan Energies

Ghana

Converts GHS through bank

3-5% spread

Segilola

Nigeria

Converts NGN through bank

3-5% spread

What If the Money Never Had to Leave AFC's Accounts?

What if AFC held local currency accounts in every country?

What if portfolio returns flowed into those accounts automatically?

What if cross-border payments were matched against existing balances?

What if only the true surplus, the money nobody needs, got converted?

That is what this system does.

THE TWO STREAMS

Two Types of Money Flow Into AFC's Treasury

Stream 1: AFC's Own Money

Portfolio companies pay AFC what they owe: dividends on equity stakes, interest on debt facilities, principal repayments on loans. This money belongs to AFC. It lands in AFC's local currency accounts in each country.

- ARISE IIP: Dividend XOF 800M (on AFC's 21% stake)
- Infinity Power: Interest EGP 500M (on debt facility)
- Segilola: Repayment NGN 800M (loan principal)

Stream 2: Portfolio Company Money

Portfolio companies need to make cross-border payments. Instead of going through banks, they deposit local currency with AFC and request AFC to pay on their behalf. This is not AFC's money. AFC holds it temporarily.

- ARISE needs NGN 200M paid to Nigerian equipment supplier
- Segilola needs XOF 90M paid to Gabonese logistics vendor
- Pecan needs EGP 50M paid to Egyptian equipment vendor

Both streams fill the same local currency accounts. The combined pool is what gives AFC the liquidity to match and settle.

STREAM 1

AFC's Own Money: Returns on Investment

Portfolio companies pay AFC what they owe. Dividends on equity stakes, interest on debt facilities, loan repayments. This is money AFC owns.

ARISE IIP Dividend: XOF 800M (on AFC's 21% stake)	Infinity Power Interest: EGP 500M (on debt facility)	Pecan Energies Dividend: GHS 230M (from Kpone IPP)	Segilola Repayment: NGN 800M (loan principal)
AFC Gabon XOF 2.6B	AFC Egypt EGP 1.4B	AFC Ghana GHS 680M	AFC Nigeria NGN 4.7B

This money now sits in AFC's own accounts, available for local payments or conversion to USD.

STREAM 2

Portfolio Company Money: Cross-Border Payments

Portfolio companies need to pay suppliers and contractors in other countries. Instead of each company going through banks and paying FX spread, they deposit with AFC and AFC pays locally.

ARISE IIP (Gabon)

Needs to pay a Nigerian equipment supplier NGN 200M.

Without AFC: buys naira through a Gabonese bank.

Cost: 4-6% spread = ~\$15,000-\$22,000 lost

With AFC: deposits XOF into AFC's Gabon account. AFC pays from existing NGN balance.

Cost: \$0 FX spread

Segilola (Nigeria)

Needs to pay a Gabonese logistics vendor XOF 90M.

Without AFC: buys CFA through a Nigerian bank.

Cost: 3-5% spread

With AFC: deposits NGN into AFC's Nigeria account. AFC pays from existing XOF balance.

Cost: \$0 FX spread

The money ARISE deposited is not AFC's. AFC holds it temporarily and executes the payment. The ledger tracks the debt.

THE ENGINE

Inside AFC's Treasury: The Matching Engine

NIGERIA - 200M NGN 4.5B Current balance	GHANA - 40M GHS 640M Current balance	GABON - 90M XOF 2.5B Current balance	EGYPT - 25M EGP 1.375B Current balance
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INCOMING REQUESTS

ARISE requests Pay Nigerian supplier NGN 200M ✓ NGN 4.7B > 200M needed Approved	Infinity Power requests Pay Ghanaian logistics firm GHS 40M ✓ GHS 680M > 40M needed Approved	Segilola requests Pay Egyptian lab vendor EGP 25M ✓ EGP 1.4B > 25M needed Approved	Pecan requests Pay Ivorian contractor XOF 90M ✓ XOF 2.6B > 90M needed Approved
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Cross-border payments

0

Bank conversions

\$0

FX spread paid

THE LEDGER

Tracking Who Owes What

After AFC makes cross-border payments on behalf of portfolio companies, intercompany debts are created. Every transaction is priced at the official benchmark rate on the day of execution.

COMPANY	PAYMENT MADE	DEBT CREATED	SETTLEMENT METHOD	STATUS
ARISE IIP	NGN 200M to Nigerian supplier	XOF equiv. at NAFEM mid-rate	Netted vs next quarterly dividend	Settled
Infinity Power	GHS 40M to Ghanaian firm	EGP equiv. at CBE reference rate	Deducted from next interest payment	Pending
Segilola	EGP 25M to Egyptian lab	NGN equiv. at interbank mid-rate	Netted vs next loan repayment	Settled
Pecan Energies	XOF 90M to Ivorian contractor	GHS equiv. at BOG reference rate	Quarterly cash settlement	Pending

Using official benchmark rates satisfies transfer pricing requirements across all jurisdictions. No preferential rates. No regulatory risk. Full audit trail.

THE CONVERSION

Converting What Nobody Needs

After all local payments are made, AFC still holds large local currency balances. This surplus gets sold to remittance providers who need African currencies for diaspora payouts.

NGN 500M

Retained buffer

-4.0B sold

GHS 50M

Retained buffer

-598M sold

XOF 200M

Retained buffer

-2.31B sold

EGP 100M

Retained buffer

-1.275B sold

AFC has

Surplus NGN, GHS, XOF, EGP

Wants: USD

↔

Direct trade. Both sides get better rates than banks.

Remittance companies have

USD, GBP, EUR from diaspora senders

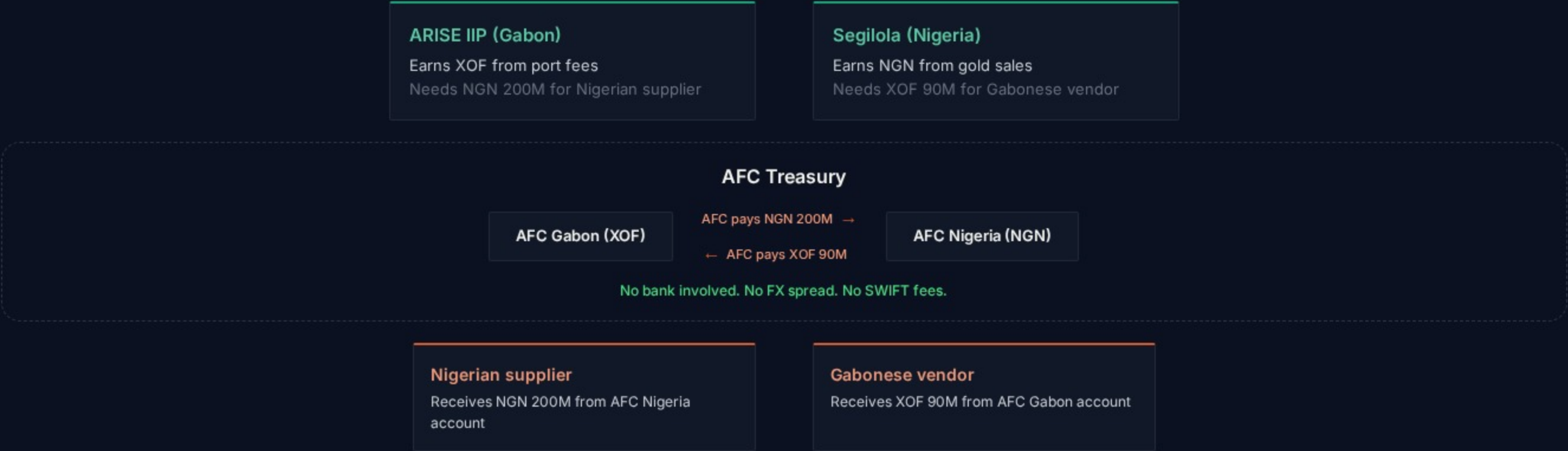
Want: NGN, GHS, XOF, EGP for last-mile payouts

AFC Centralized USD Treasury

Small buffers retained in each country for next cycle's local payments.

EXAMPLE

How It Works: ARISE and Segilola



Ledger settlement

ARISE: XOF deposit offsets NGN 200M payment. Settled.
Segilola: NGN deposit offsets XOF 90M payment. Settled.
Remaining difference netted vs next dividend cycle.

More Companies. Higher Matching. Less Conversion.

With 4 portfolio companies, AFC can match some cross-border payments internally.

With 10 companies across 10 countries, the matching ratio increases. More payment needs can be offset against existing balances.

With 20+ companies across 20+ countries, the system approaches a tipping point: the majority of cross-border flows can be settled internally, and only a fraction touches external FX markets.

Every company that joins the system makes it more efficient for every other company.

It is a network effect applied to treasury management.



IMPLEMENTATION

Four Components. One System.

01

Visibility Dashboard

Real-time or daily view of AFC's local currency balances across all country accounts. Current state: likely spreadsheets and monthly reports. Target: live dashboard.

02

Payment Request Workflow

Standardized process for portfolio companies to submit cross-border payment needs. Company, amount, currency, destination, urgency.

03

Matching Engine

Automated system to pair incoming requests against available balances. Flag matches. Prioritize by urgency and size. Calculate optimal netting.

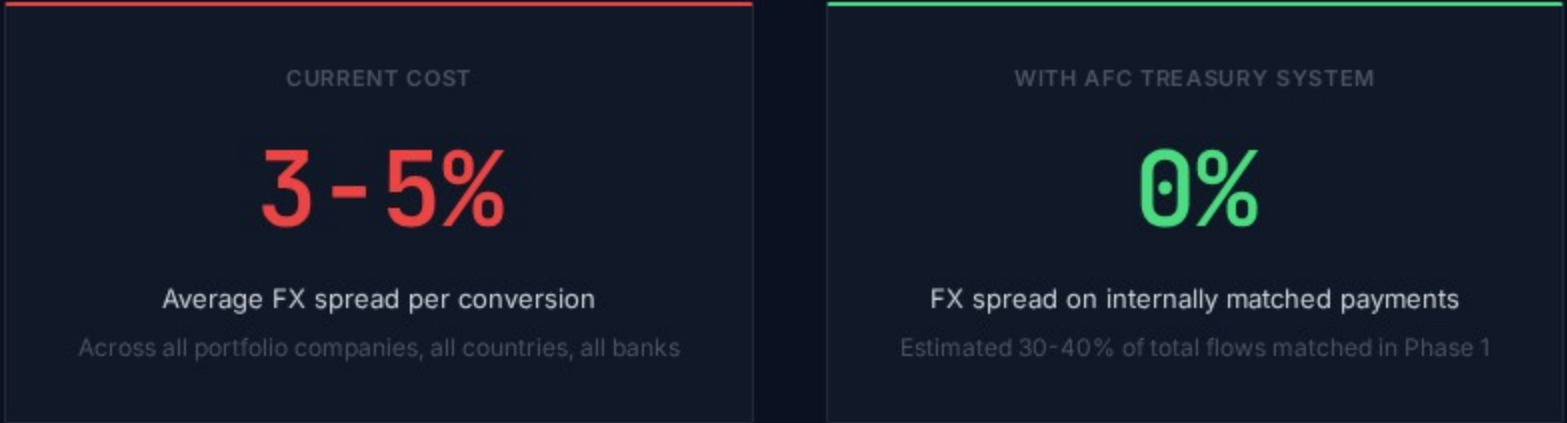
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Ledger and Settlement

Track intercompany positions, benchmark rates used, settlement schedules, and full audit trail. Transfer pricing compliant across all jurisdictions.

Phase 1: Pilot with 4-5 portfolio companies across Nigeria, Ghana, Gabon, and Egypt.

The Business Case



Estimated annual savings: 2-4% of total cross-border flow volume



How This Compares to the Current Approach

	CURRENT STATE	TRADITIONAL OPTIMIZATION	AFC TREASURY SYSTEM
Who converts	Each company independently	Centralized but still through banks	AFC matches internally first
FX spread	3-5% per transaction	1-3% (negotiated volume rate)	0% on matched flows
Cross-border method	SWIFT through correspondent banks	Same	Internal ledger settlement
Settlement speed	2-3 business days	1-2 business days	Instant (ledger entry)
Visibility	Monthly reports	Weekly reports	Real-time dashboard
Netting	None	Bilateral	Multilateral across full portfolio
Surplus conversion	Through banks	Through banks (better rate)	Through remittance providers (best rate)
Network effect	None	None	Improves with every company added

TIMELINE

Implementation Roadmap

- March 2026

System architecture and flowchart delivered

Treasury framework documented. AFC reviews.
- April 2026

Pilot design

Select 4-5 portfolio companies. Map existing bank relationships. Identify remittance partners.
- Q2 2026

Visibility dashboard built

Real-time view of AFC local currency balances across pilot countries.
- Q3 2026

Matching engine and ledger launched

First internally matched cross-border payments executed. Settlement tracking live.
- Q4 2026

Remittance provider partnerships active

Surplus conversion channel operational. First full cycle completed.
- 2027

Full portfolio rollout

Expand from pilot to all 36 countries. Network effect accelerates.

Next Steps

- 1 AFC reviews the treasury system architecture and flowchart
- 2 Identify 4-5 portfolio companies for the pilot (recommend ARISE, Infinity Power, Pecan, Segilola)
- 3 Map current bank relationships and FX conversion costs in pilot countries
- 4 Identify licensed remittance provider partners in Nigeria, Ghana, Gabon, Egypt
- 5 Future Africa scopes the technology build for the visibility dashboard and matching engine
- 6 Regulatory review: confirm intercompany settlement structure in each jurisdiction
- 7 Define benchmark rate methodology and transfer pricing documentation requirements
- 8 Pilot kickoff targeting Q2 2026

AFC has the portfolio.
The local currency is already flowing.
The matching opportunities are already there.
The only thing missing is the system to capture them.
We recommend building it now.

